

9.5 Detailed specific example: The Maldives



The Maldives is an **archipelagic** country, consisting of 1190 coral islands. It is situated in the Indian Ocean, southwest of Sri Lanka and India. The Maldives is well-known for its diversity of marine life. It is a globally renowned destination for snorkelling and diving. Local attractions include warm waters featuring incredible biodiversity including coral reefs, rays, sea turtles, and reef sharks.



Figure 9.6: The Maldives is considered one of the best diving locations in the world



Figure 9.7: The Maldives has a diverse array of underwater sea life

The growth of tourism

The growth and expansion of low cost, budget airlines usually contribute to the increase in tourism of a region. However, the Maldives, which is largely regarded as an expensive travel destination, is an example of a country where tourism has significantly increased over the past fifty years without budget airlines serving it.

The Maldives are part of a group of islands in the Indian Ocean. It is an expensive destination due to its remote location, limited resources, and high taxes on imported goods. Despite this, the country has become a sought-after destination due to its luxury accommodation, stunning natural beauty, and spectacular marine life it offers, with the first resort, 'Kurumba', opening in the 1970s. Kurumba had a financially successful first year, as journalists and photographers were invited to advertise the resort. Foreign investment came quickly, with other hotels and businesses wanting to copy this resort model.

Recent development in digital technologies have also had a positive impact on the growth of tourism in the region. As digital infrastructure has developed and networks have improved, more options are now available for tourists to access better communications, simplified payment options, and their own social media and remote working possibilities.

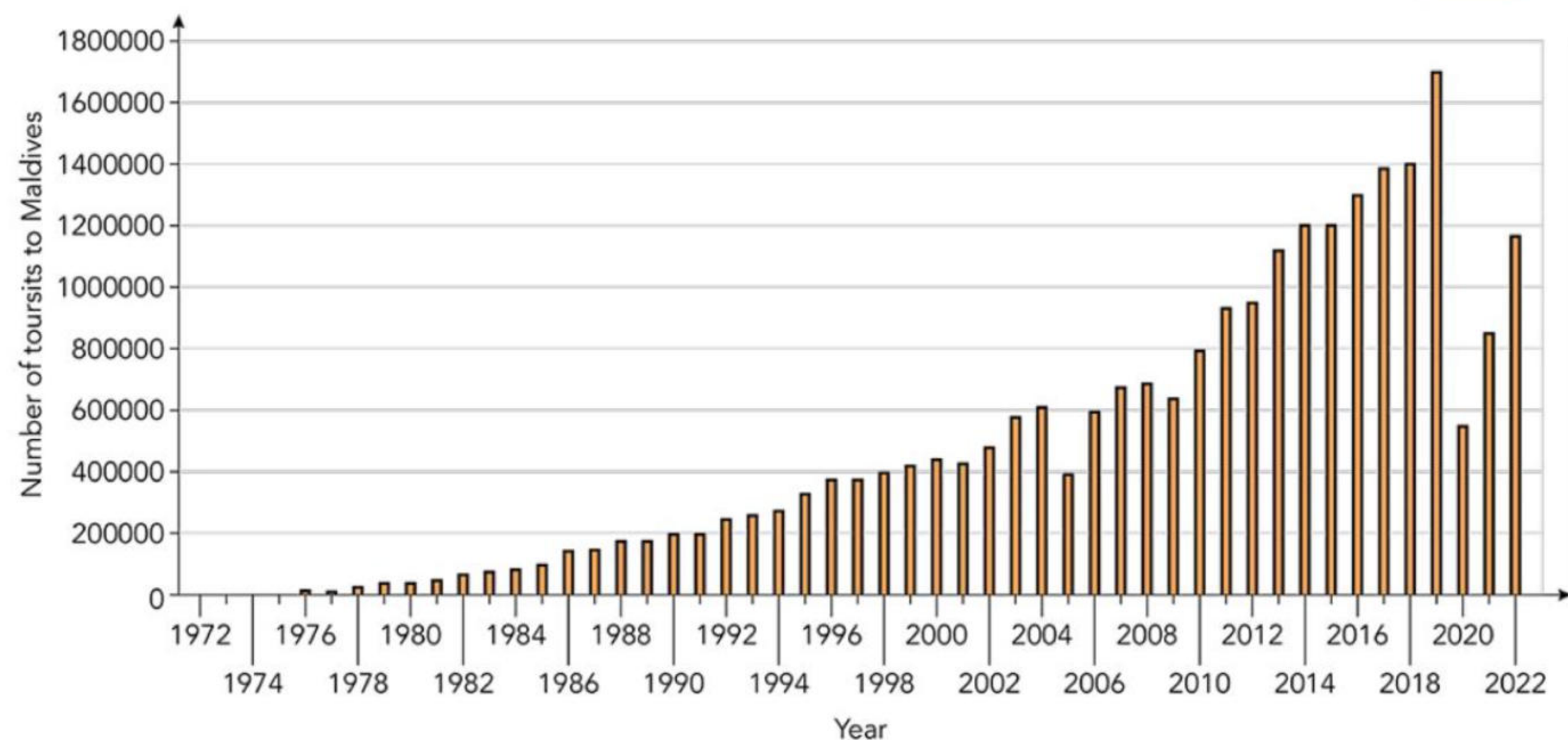
The benefits and problems of tourism

Economic and social impacts

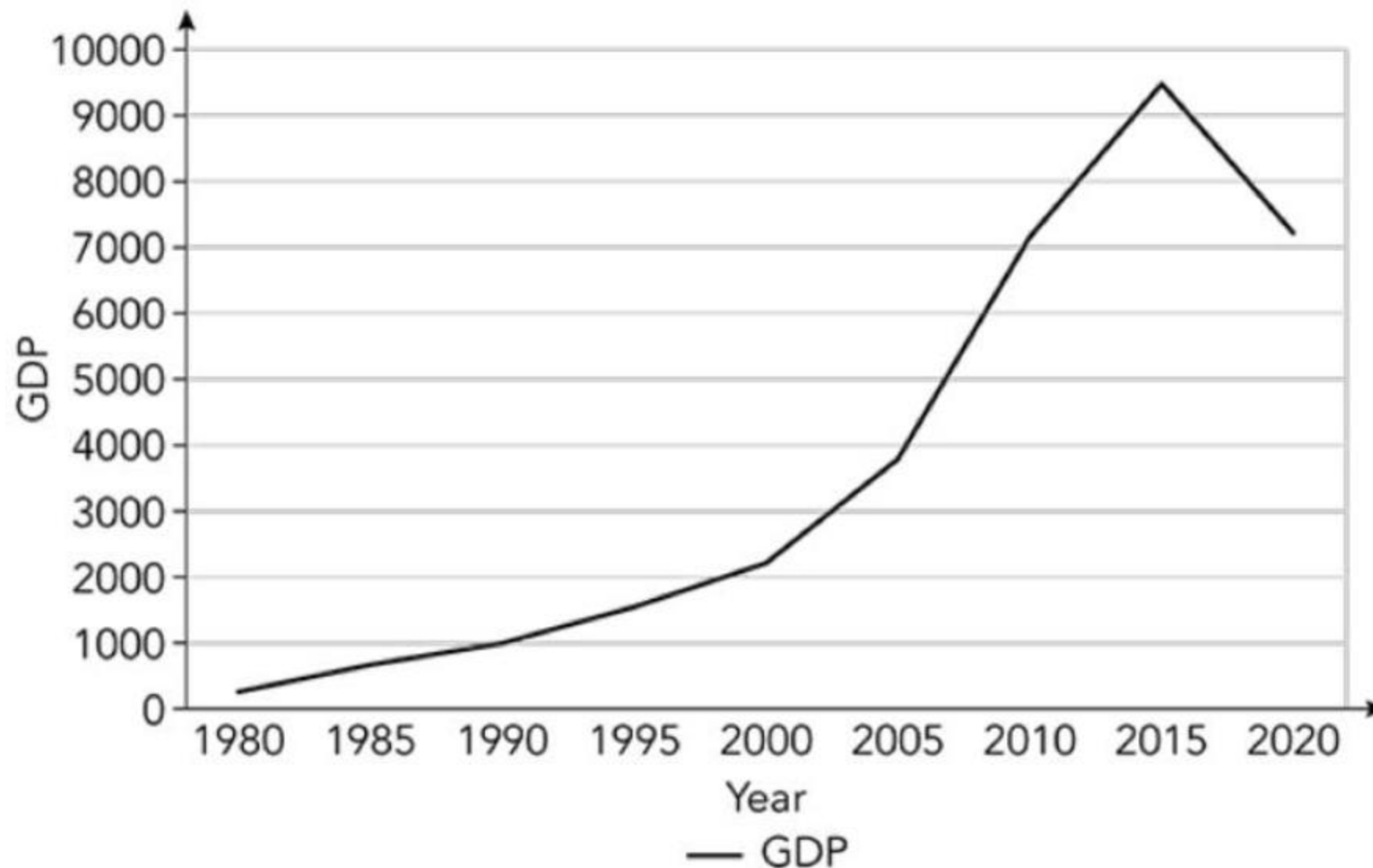
From the 1970s, the Maldives began to experience increasing numbers of tourists (Source A) which drove economic activity. In 1980, the Maldives GDP per capita was \$268 and the country was classified as a LIC. By 2022, the GDP per capita reached \$11 780, meaning the Maldives is now classified as a middle-high income country. Today, economic activity driven by recreational visitors accounts for around 30% of the Maldives' GDP.

Tourism is the largest source of jobs in the Maldives, employing more than a fifth of the population in 2014. In 2020, tourism and the related services was estimated to contribute to nearly 40% of the total economy. This means that most Maldivians rely heavily on tourism as a major source of income, the other being fishing. As tourism revenues increase through taxes, this has a positive impact on the quality of life of the local population as the surrounding infrastructure supporting the industry expands and develops.

However, the archipelago's economy is now heavily dependent on the tourism industry. The over reliance on tourism as a major contributor to the GDP places the economy at risk. For example, the COVID-19 pandemic and the resulting travel bans heavily impacted the Maldives, and it was economically one of the worst affected countries in Asia. In 2020, its GDP growth decreased by nearly 40% compared to 2019. In addition, in the low season, unemployment rises due to low occupancies. Other risks, such as climate change, could have similar devastating impacts on the industry, and therefore strategies need to be explored to prepare for such events.



Source **A**: Tourist numbers to the Maldives since 1972



Source **B**: GDP (in billion USD) for the Maldives, 1980–2020

TASK 1: Study Sources **A** **B**

- Compare the graphs** in Sources A and B. Do you notice any patterns?
- Suggest possible reasons for the Maldives' growth in GDP between 2000 and 2015.
- The impact of the pandemic was significant on tourism to the region. Explain how Source B demonstrates this.

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Environmental impacts

The Maldives is already facing several environmental issues due to its low-lying geography and vulnerability to climate change. Coral bleaching, caused by warmer ocean temperatures, harms marine ecosystems essential for tourism activities like diving and snorkelling. Waste management is also a concern, with improper disposal affecting beaches and marine life. Many of these challenges are worsened by growth in the tourism industry. These include overfishing on reefs, deforestation, soil erosion, pressure on water resources, and threats to wildlife resulting from habitat destruction.

More positively, many tourists are interested in environmentally friendly activities. For example, the Maldives has established marine protected areas where turtles nest. Awareness campaigns have helped to educate tourists and locals about the ecological importance of the species. This has had a positive effect on the previously threatened turtle population.



Source C: Boatload of rubbish moored at a jetty in the Maldives

TASK 2: Study Source C

Source C shows a boat loaded with rubbish, waiting to be carried by boat to another island. There, the rubbish will be incinerated. In pairs, discuss the following questions:

- What are some of the problems associated with transporting rubbish in this way?
- Carry out some research about how the system of refuse collection and disposal across the islands has developed as tourism has expanded.
- What system would you propose as an alternative?

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How is the Maldives managing its tourism industry?

Climate change, over-tourism, and competition from other tourist destinations are some of the challenges faced by the tourism industry in the Maldives. Pristine beaches and clear waters coupled with high quality accommodation appeal to tourists. If this is under threat, the tourism industry would likely collapse, which would cause an economic downturn as the destination falls into Stage 5 of the Butler Model.

In order to address these challenges, the Maldives' Ministry of Tourism created the Fifth Tourism Master Plan (5TMP). The 2023–2027 plan sets out the vision, policy priorities, and strategies for the tourism industry over the next five years and beyond. Below is a snapshot of some of the strategies and techniques the 5TMP lays out to achieve sustainable tourism in the Maldives.

Promote sustainable tourism

- Promote initiatives such as ecotourism. For example, the Guesthouse Island Development programme, which a number of private companies are offering. This programme encourages the development of new artificially connected islands to provide additional tourists and investors to the region.
- Reduce waste by banning the import of a variety of single-use plastics (such as plastic water bottles, straws, cutlery, and disposable toiletries).
- Promote environmentally friendly resorts and activities such as eco-diving, and experiences like planting new coral or beach clean-ups.
- Increase opportunities for tourists to participate in activities such as guided snorkelling tours, beach clean-ups, and coral planting. The goal is for tourists to learn about the local environment and contribute to conservation efforts.

Diversify the tourism product

- Promote cultural festivals, establish visitor centres at national heritage sites, and train young people to share their artistic skills
- Develop adventure tourism activities.
- Develop respectful encounter experiences with manta rays, whale sharks, and turtles.

- Develop a marketing strategy for corporate getaways (for example, barefoot conferences).
- Introduce a ‘Work from Island’ visa, to encourage digital nomads to visit.
- Promote water sports and events, such as holding international surfing and body boarding events.
- Promote Maldivian cuisine to visitors.

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Improve infrastructure and connectivity

- Reduce congestion and waiting times at Velana International Airport.
- Establish the infrastructure for cruise ships to visit.
- Develop transportation networks to reach all islands.
- Enhance existing facilities and services.
- Develop tourism in underutilised regions, to spread tourist activity more evenly across the country.

TASK 3

The Maldives is not the only country to experience threats to its ecosystem from tourism.

- Conduct independent research and identify at least one other country with similar challenges.
- Compare the differences in their strategies to overcome these challenges.

TASK 4

In the foreword of the Fifth Tourism Master Plan, the Minister of Tourism for the Maldives stated, ‘By incorporating recommendations from the UN Sustainable Development Goals and international best practices, 5TMP’s vision is to position Maldives as the world’s leading destination in sustainable tourism’.

- Using the information above, select the priority strategy from the plan (for example, ‘Diversify the tourism product’) that best aligns with making the Maldives a leading destination in sustainable tourism. Justify your choice.
- Suggest some of the challenges that the country will face to achieve this goal.

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IMPROVE THIS ANSWER

Outline the advantages and disadvantages of TNCs for Low-income countries.

TNCs 1 bring investment to a region and create job opportunities. 2 Workers are given the opportunity to work in factories. 3 As TNCs bring trade to a region, they create new markets and increase economic growth. 4 Workers sometimes are given the opportunity to upskill themselves and earn higher salaries. 5 Sometimes TNCs exploit the resources and this can have an impact on the environment. 6

1 When you introduce an acronym for the first time, you should spell it out (for example, ‘TNCs, or transnational corporations’).

2 This answer could have a stronger opening statement, which sets the scene more. For example, ‘TNCs bring investment to a region and create job opportunities but can bring environmental and social damage.’

3 Include that opportunities are not always given to all. For example, in countries where there is gender inequality.

4 It is important to include key words. The answer could be improved by adding, for example, ‘TNCs can **stimulate the local economy** and if **managed correctly**, can have a **positive impact** on the local population.’

4 The answer needs to include some balance. It can expand by adding negative economic and social aspects, such as that TNCs can exploit local workers through low wages, and poor working and living conditions.

5 This part of the answer could include more depth. For example, by adding in an example of how workers can be upskilled and how this could lead to higher earning potential. For example, ‘As TNCs bring new technology to an area, workers are able to undergo training and certification to further their career paths which could lead to promotion and higher salaries.’

6 The answer could be improved by adding a brief conclusion. For example, ‘Overall, if managed correctly, TNCs can have a positive impact on a region. TNCs are responsible for nearly 80% of world trade and can bring development to a region if managed properly’.

Now, improve the response to this question using the guidance above.

SELF-EVALUATION CHECKLIST

After studying this topic, think about how confident you are with the different topics. This will help you to find any gaps in your knowledge and learn more effectively.

I can:	Needs more work	Getting there	Ready to move on
outline the classification of different industries			
explain how employment structures change in HICs, MICs, and LICs			
understand how various factors influence the changing location and distribution of different industries			
understand the nature of globalisation and its impacts on trade, transport, culture, communications, and technology			
explain the role of transnational corporations and evaluate their impacts to the countries in which they operate			
understand the factors that have led to the global growth of tourism and its impacts			
evaluate the successes and limitations of the sustainable management of tourism.			



> Topic 10

Resource provision

LEARNING INTENTIONS

By the end of this topic you will be able to:

- describe how our food and energy is produced
- outline global patterns of food and energy supply and demand
- explain the challenges of food supply
- describe the role of food aid and the sustainable management of food supply in failing soils
- give the impacts of energy production from different energy sources
- evaluate the sustainable management of energy supplies.

GETTING STARTED

Working in pairs or small groups, take a few minutes to discuss the following:

- 1 Where does your food come from? Discuss the different foods you eat and if you know where the raw products are grown.
- 2 Give reasons why you think your food comes from so many different regions and countries.
- 3 Name a renewable and a non-renewable energy resource. Do you know what type of energy supplies the electricity to your school or home?
- 4 Which renewable energy source is most commonly used in your region? If one is not yet used, which one do you think would work the best?